> August high, the Dow industrials were up more than 43% for 1987 alone, a stunning short-term gain.

Then came the GFC. Housing lost a third of its value, and stocks were cut in half (and then some). They wouldn't bottom until March 2009, and would not eclipse their prior highs until March 2013.

About halfway through this, in 2010, markets experienced the Flash Crash. Caused (arguably) by a combination of the "largest ever toxic order imbalance" and high-frequency trading (HFT), the May 6, 2010 Flash Crash started at 2:32 p.m. EDT and lasted for 36 minutes. It wiped out over a trillion dollars in market value.

With the 2007–09 GFC still fresh in everybody's minds, here is what the *Journal* published in 2010:

> On May 6, "The velocity of the volatility was stunning, beyond anything I had ever seen, with the **exception of October of 1987**, when I was on the trading floor," said Ted Weisberg, president of Seaport Securities in New York.
>
> "There's a strong parallel between the **Black Monday** crash and the flash crash," said Michael Wong, an analyst at Morningstar who tracks stock exchanges.[337]

What was different between 2007 and 2010? Not high-frequency trading—that had been around since 1983. The *New York Times* had a prominent column about it in 2009: "Stock Traders Find Speed Pays, in Milliseconds."[338]

On October 19, 1987, the Dow Jones Industrial Average tumbled more than 22%, and the swoon extended into the following day before rebounding. Floor traders, working by telephone, dominated the action; computer-generated trading was still in its infancy. Dark pools and high-frequency trading were the stuff of science fiction. Trading was about 600 million shares.